FORMAL ACCOUNTING ACCEPTANCE & EVIDENCED TECHNICAL DECISION

Domain Target: RealityEngine_Machines/machine_factory/ifrs_accounting**Governing Standard**: *IFRS for SMEs Accounting Standard (Third Edition, February 2025)*, International Accounting Standards Board (IASB) 1, 2**Engine Runtimes**: RealityEngine C++ Native, Scala (AKKA), and Common Lisp (Tri-Parity Verified) 3**Memory Allocation**: 2,700 Narrow-Cell Registers ([8000:10699]) 4

Executive Statement of Accounting Acceptance

As a qualified **IFRS Accounting Expert**, I have conducted an exhaustive technical review and formal evaluation of the accounting logic, deterministic state transition rules, perceptual memory maps, and agentic workflows implemented in the RealityEngine_Machines/machine_factory/ifrs_accounting domain 3-5.
I hereby issue **Formal Accounting Acceptance**, confirming that the domain's **225 free-standing Finite State Automata (FSAs)** and **7 OpenClaw xACP AI Agents** accurately, completely, and faithfully model the normative accounting rules, recognition gates, measurement paths, and disclosure requirements set forth in the *IFRS for SMEs Accounting Standard (Third Edition, February 2025)* 1-3, 5.

Key Accounting Domains Verified & Accepted

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│                          EVIDENCED ACCOUNTING ACCEPTANCE MATRIX
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│ IFRS Standard & Section          │ Evaluated Accounting Rules               │
Evidenced Status       │
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│ Section 1: SME Scope             │ §1.3–1.5 Public Accountability           │
ACCEPTED (FULL)        │
│ Section 3: FS Presentation       │ §3.8–3.9 Going Concern                   │
ACCEPTED (FULL)        │
│ Section 11: Financial Inst.      │ §11.8, §11.9ZA SPPI Model                │
ACCEPTED (FULL)        │
│ Section 12: Fair Value           │ §12.22–12.27 Levels 1–3                  │
ACCEPTED (FULL)        │
│ Section 18: Intangibles          │ §18.14 Mandatory R&D Expensing           │
ACCEPTED (FULL)        │
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| Section 20: Leases             | §20.4 Classification Ratios    |
ACCEPTED (FULL)        |
| Section 23: Revenue            | §23.7–23.58 5-Step Model       |
ACCEPTED (FULL)        |
| Section 25: Borrowing Costs    | §25.2 Immediate Expensing      |
ACCEPTED (FULL)        |
| Section 27: Asset Impairment   | §27.11 Recoverable Amount DCF  |
ACCEPTED (FULL)        |
| Section 29: Income Tax         | §29.3A, §29.38 Pillar Two      |
ACCEPTED (FULL)        |
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1. Scope, Public Accountability & Framework Eligibility (Section 1 & Section 3)

- **Standard Requirement**: An entity has public accountability if its debt or equity instruments are publicly traded (§1.3a) or if it holds assets in a fiduciary capacity as one of its primary businesses (§1.3b, §1.4) 6. Publicly accountable entities are strictly prohibited from asserting compliance with the IFRS for SMEs Accounting Standard (§1.5, §3.2b) 6, 7.
- **Evidenced Implementation**: The IFRS_Sec01_PublicMarket_DebtEquity_Checker and IFRS_Sec01_PrimaryFiduciary_Asset_Evaluator FSAs continuously monitor trading registry and fiduciary feeds 4. Upon detecting public filings or primary fiduciary activity, the machines assert an explicit non-compliance disqualification code (OSRE = 2.0/3.0), blocking downstream financial statement assembly and preventing invalid compliance declarations 4, 6, 7.
- **Acceptance Decision**: **APPROVED**. The disqualification mechanism rigorously enforces Section 1 boundary conditions 4, 6.

2. Going Concern Continuity & Liquidation Basis Override (Section 3 & Section 2)

- **Standard Requirement**: Management must assess the entity's ability to continue as a going concern over a forward horizon of at least 12 months (§3.8, §2.35) 8, 9. If significant uncertainties exist, explicit disclosures are required; if liquidation is intended or unavoidable, financial statements must be prepared on a liquidation basis (§3.8) 9.
- **Evidenced Implementation**: The IFRS_Sec03_GoingConcern_12Month_Continuity_Assessor FSA monitors liquidity and covenant triggers, interacting with GoingConcernAssessorAgent 4, 10. If liquidation is required, the machine asserts state code 3.0 at memory offset 8160, triggering an automated valuation override across Section 17 Property, Plant and Equipment, Section 18 Intangibles, and Section 27 Impairment FSAs to adjust non-current assets to net realizable liquidation value 4, 8-13.
- **Acceptance Decision**: **APPROVED**. The memory-mapped override cascade satisfies Section 3 presentation rules under insolvency conditions 4, 9, 10.

3. Financial Instruments SPPI Supplementary Test (Section 11 & Section 12)

- **Standard Requirement**: Under the Third Edition amendments, debt instruments are evaluated using the Solely Payments of Principal and Interest (SPPI) supplementary classification principle (§11.8, §11.9ZA) 14-16. Basic lending arrangements with compensation for time value of money, credit risk, and administrative costs qualify for Amortised Cost (§11.14a) 16, 17. Instruments introducing leverage or equity/commodity price volatility are classified at Fair Value Through Profit or Loss (FVTPL) (§11.54) 18, 19.
- **Evidenced Implementation**: The IFRS_Sec11_SPPI_CashFlow_Classifier FSA evaluates incoming contractual cash flow feature vectors via Critical Event Sequence (CES) regular expressions, routing basic lending debt to Amortised Cost (OSRE = 1.0) and non-basic/derivative debt to FVTPL (OSRE = 2.0) 4, 16, 17, 19.
- **Acceptance Decision**: **APPROVED**. The classification logic aligns perfectly with Section 11 Part I & Part II criteria and Third Edition SPPI rules 4, 14-16, 19.

4. Revenue Recognition 5-Step Model & Leases (Section 23 & Section 20)

- **Standard Requirement**: Section 23 reflects the full 5-step revenue recognition model aligned with IFRS 15 (§23.7 contract criteria, §23.18 distinct promises, §23.27–23.30 variable consideration constraints, §23.40 relative stand-alone price allocation, §23.54 over-time vs. §23.58 point-in-time control transfer) 20-26. Section 20 classifies leases as finance or operating based on risk/reward transfer indicators (§20.4) 27, 28.
- **Evidenced Implementation**: Ten dedicated Section 23 FSAs (IFRS_Sec23_ContractCriteria_Validation_Engine through IFRS_Sec23_PointInTime_vs_OverTime_Arbiter) execute the 5 steps in sequence 4. Qualitative contract terms are parsed by ContractExtractorAgent and passed to memory registers [9200:9211] 4, 29. Section 20 FSAs evaluate classification ratios to separate Finance Leases from Operating Leases 4, 27, 28.
- **Acceptance Decision**: **APPROVED**. The 5-step revenue chain and lease classification engines correctly execute Section 23 and Section 20 requirements 4, 20, 27, 30.

5. R&D Expensing, Borrowing Costs & Impairment (Sections 18, 25, 27)

- **Standard Requirement**: Internal research and development expenditure must be expensed immediately (§18.14) 12. All borrowing costs must be expensed in profit or loss when incurred, with capitalization prohibited (§25.2) 31. Assets must be written down whenever carrying amount exceeds recoverable amount (higher of fair value less costs to sell and value in use) (§27.11) 13, 32.
- **Evidenced Implementation**: The IFRS_Sec18_Internal_RD_Expense_Enforcer FSA blocks internal R&D capitalization, forcing immediate expense recognition 4, 12. The IFRS_Sec25_BorrowingCost_Mandatory_Expensing_Engine enforces Section 25 expensing 4, 31. Section 27 machines calculate DCF Value in Use and write down impaired inventory (Section 13) or non-current CGU assets 4, 13, 33, 34.
- **Acceptance Decision**: **APPROVED**. The mandatory expense enforcers and DCF impairment engines strictly enforce Sections 18, 25, and 27 4, 12, 13, 31, 33.

6. Tax Accounting & OECD Pillar Two Exemption (Section 29)

- **Standard Requirement**: Section 29 incorporates the mandatory temporary exception prohibiting the recognition or disclosure of deferred tax assets and liabilities related to OECD Pillar Two global minimum top-up taxes (§29.3A, §29.38) 35-38.
- **Evidenced Implementation**: The IFRS_Sec29_OECD_PillarTwo_Exception_Enforcer FSA identifies in-scope multinational group entities and sets memory cell 9896 = 1.0, blocking deferred tax calculations while permitting current top-up tax liability accruals (§29.38) 4, 36-39.
- **Acceptance Decision**: **APPROVED**. The top-up tax exception mechanism fully complies with the September 2023 / February 2025 IASB amendments 35, 36, 38.

Architectural & Governance Verification

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|                           ARCHITECTURE & GOVERNANCE COMPLIANCE
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| Governance Criterion                | Verification Result
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| Machine Corpus Topology             | 225 Flat, Free-Standing FSAs
(Zero Hierarchy) [3] |
| Perceptual Space Allocation         | 2,700 Registers
(`[8000:10699]`) (Zero Overlap)[4]|
| Single Transition Assumption (STA)| Enforced by OutputArbiter
Priorities [4]          |
| OpenClaw xACP Agent Integration     | Bounded Agency in
`JUDGMENT_VECTOR` Mode [5, 10, 29, 39-44]  |
| Dual-Key Approval Escrow            | CFO + Auditor Sign-Off required
for Materiality    |
| Multi-Runtime Tri-Parity             | Byte-Identical Execution
across C++, Scala, Lisp   |
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1. **Isolation of Determinism**: All deterministic state transitions are driven strictly by free-standing FSAs evaluating narrow numerical registers (ISRE/OSRE) 3, 4. OpenClaw AI Agents execute out-of-band, returning structured judgment vectors (mode: JUDGMENT_VECTOR) with mandatory paragraph citations and confidence scores, never overriding FSA priority assertions 5, 10, 29, 39-44.
2. **Dual-Key Control Escrow**: Any agent recommendation altering net income or equity carrying amounts beyond entity materiality thresholds (or asserting a liquidation basis

8160 = 3.0) is held in escrow until cryptographic digital signatures are validated for both the CFO and Lead External Auditor 5, 10.

3. **Tri-Parity Execution**: The domain successfully passes all repository CI gates (npm run validate, STRICT_DOMAIN_CONTRACT=1, npm run test:contracts) and universe orchestrator tests (./startUniverse.sh), proving byte-identical state traces across C++, Scala, and Common Lisp engine runtimes 3.

Final Acceptance Sign-Off

I confirm that the **IFRS-ACCOUNTING** domain specification, machine corpus (SME_IFRS_Accounting_Machines_Corpus.json), and OpenClaw xACP agent deployment framework (IFRS_SME_Accounting_Agent_Deployment_Plan.md) meet all professional accounting standards for deployment, verification, and auditability 3-5, 45.
Accounting Acceptance is granted without reservation for production deployment.